Single currencies

A single world currency would surely be too tight a constraint on so many diverse economies, while separate currencies for every town would hopelessly complicate economic life. For historical reasons, most currencies have evolved within borders, but many European countries have recently opted for a single, shared currency – the euro. If currencies don't have to coincide with national borders, then what is the optimal coverage of a currency? When trading partners share a single currency, they reduce currency conversion costs and boost trade. However, a country with its own currency sets its own monetary policy (the level of money supply and interest rates) – power that it gives up under a single currency. In the case of the euro, monetary policy is decided by the European Central Bank. This works well when the economic cycles of member states are synchronized, but problems arise if countries need different monetary policies, as happened in the wake of the economic crisis that began in 2008. Questions are now being asked about whether Europe really is an optimal currency area.